The Lean Canvas

Designed for:	Designed by:	Date:	Version:
Duolingo, Inc.	Claude (AI research)	06/10/2026	1.0

Problem



- Learning a language is expensive (tutors, classes, $100s for software)
- Hard to stay motivated; most learners quit within weeks
- Little access to real speaking practice and proof of proficiency

Solution



- **Free, gamified bite-size lessons** in 40+ languages plus math, music & chess
- **Streaks, XP, leagues** and push notifications to build daily habits
- **AI features** (Video Call, Explain My Answer) in Max tier; Duolingo English Test

Unique Value Prop.



- Free, fun and effective: learn a language in a few minutes a day, as addictive as a game.
- *Education that's free for everyone, with premium AI tutoring for those who pay.*

Unfair Advantage



- Massive learning dataset + A/B testing engine ("Green Machine") at 100M+ MAU scale
- Iconic brand & mascot (Duo) driving ~80% organic acquisition
- *Network/habit lock-in: long streaks raise switching costs*
- Duolingo English Test accepted by 5,000+ institutions

Customer Segments



- Casual self-learners worldwide (largest share: English learners)
- Travellers, heritage & hobby learners; students
- Intl. students & migrants needing English certification (DET)
- Advertisers reaching free users

Existing Alternatives



- Classroom courses & private tutors (italki, Preply)
- Paid apps: Babbel, Rosetta Stone, Busuu, Memrise
- Textbooks, YouTube, ChatGPT-style AI tutors
- TOEFL / IELTS for English certification

Key Metrics



- **DAU** 58.7M, +23% YoY (Q2'26)
- **MAU** 140.6M, +10% YoY
- **Paid subs** 12.7M, +17% YoY
- **DAU/MAU** ratio ~42%; CURR retention 84% (all-time high)
- **Bookings** $289.1M (Q2'26), +8%

High-Level Concept



- "Candy Crush for learning"
- *A mobile game that happens to be a language school*

Channels



- Word of mouth & app-store organic (~80% of users)
- Viral organic social (TikTok, Duo mascot memes)
- Targeted paid acquisition & global influencer partnerships
- DET via universities; Duolingo for Schools (free)

Early Adopters



- Tech-savvy, mobile-first learners who couldn't afford paid courses (2012 launch)
- *Gamers & habit-builders motivated by streaks and leaderboards*
- *English learners in emerging markets (LatAm, Asia)*

Cost Structure



- **Cost of revenue** (~28% of revenue): app-store fees, hosting, rising AI/LLM inference costs (Video Call)
- **R&D**: engineering, design and learning-science headcount - largest opex line
- **Sales & marketing**: content/social teams, targeted paid UA, influencers
- **G&A**: corporate, legal, stock-based compensation
- *Content creation increasingly AI-generated, lowering per-course cost*

Revenue Streams



- **Subscriptions** (Super, Max, Family): $873.4M in FY2025, ~84% of revenue
- **Advertising** to free users; **Duolingo English Test** fees (~$70/test); in-app purchases
- **Revenue** FY2025 $1.04B (+39%); Q2'26 $298.5M (+18%); FY2026 guide ~+16%
- **Gross margin** 72.2% (FY2025), 72.6% (Q2'26)
- **LTV** *driven by ~9% paid conversion of MAU and annual-plan retention*

Italic = inferred from public signals; regular = publicly reported. Sources on page 2.

Lean Canvas is adapted from The Business Model Canvas (www.businessmodelgeneration.com/canvas). PowerPoint implementation by: Neos Chronos Limited (https://neoschronos.com). License: CC BY-SA 3.0

Lean Canvas: Duolingo, Inc. - Research notes & sources

Methodology & assumptions

- Research conducted 06/10/2026 from public filings (10-K FY2025, Q2 2026 shareholder letter) and press coverage.
- Italic items are analyst inference, not company-reported facts.
- Paid conversion (~9%) = 12.7M paid subscribers / 140.6M MAU, Q2 2026.
- DET acceptance count and test price are approximate public figures and may have changed.

Sources

1. Duolingo Q2 2026 Shareholder Letter (Form 8-K) - https://www.sec.gov/Archives/edgar/data/0001562088/000162828026053299/q2fy26duolingo6-30x26share.htm
2. Duolingo Form 10-Q, Q2 FY2026 - https://www.sec.gov/Archives/edgar/data/0001562088/000162828026053603/duol-20260630.htm
3. Duolingo Form 10-K, FY2025 - https://www.sec.gov/Archives/edgar/data/1562088/000162828026012494/duol-20251231.htm
4. Motley Fool - 3 key takeaways from Duolingo's 2025 - https://www.fool.com/investing/2026/02/16/3-key-takeaways-from-duolingos-2025/
5. AdExchanger - Organic marketing is Duolingo's lingua franca - https://www.adexchanger.com/strategy/organic-marketing-is-duolingos-lingua-franca
6. Chief Marketer - Duolingo organic marketing tactics - https://chiefmarketer.com/duolingo-taps-organic-marketing-tactics-media-strategy-and-social-investment-for-success
7. Palteca - Babbel vs Rosetta Stone vs Duolingo - https://palteca.com/babbel-vs-rosetta-stone-vs-duolingo-how-they-compare